

Industry ↴

970 Real Estate—General

970 Real Estate—General

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	970-10-05-1	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	970-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	970-10-05-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	970-10-15-8	Amended	Accounting Standards Update No. 2016-02	02/25/2016
	970-10-15-9	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	970-10-15-10	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

[Related Proposed ASUs](#)

970-10-05-1

- a. Real Estate—General
- b. Real Estate—Common Interest Realty Associations
- c. Real Estate—Real Estate Investment Trusts
- d. Real Estate—Retail Land
- e. Real Estate—Time-Sharing Activities.

[842-40](#)

970-10-05-2

The Real Estate—General Topic provides general real estate industry guidance, and includes the following Subtopics:

- a. Overall
- b. Statement of Cash Flows
- c. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- d. Investments—Equity Method and Joint Ventures
- e. Other Assets and Deferred Costs
- f. Property, Plant, and Equipment
- g. Debt
- h. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- i. Other Expenses
- j. Consolidation
- k. Interest.

970-10-05-3

The guidance throughout this Topic is presented in the following Subsections:

- a. General
- b. Real Estate Syndication
- c. Real Estate Projects.

970-10-05-4

The General Subsections provide accounting guidance concerning various forms of real estate investment, including real estate ventures, general and limited partnerships, corporate joint ventures and tax increment financing entities. They also provide investor-lender guidance concerning interest on loans or advances to a [real estate venture](#). See Section [272-10-05](#) regarding limited liability companies.

Real Estate Syndication

 [Related Proposed ASUs](#)

970-10-05-5

The Real Estate Syndication Subsections provide accounting guidance concerning the recognition of income from real estate [syndication activities](#).

Real Estate Project Costs

 [Related Proposed ASUs](#)

970-10-05-6

The Real Estate [Project Costs](#) Subsections establish accounting and reporting standards for acquisition, development, construction, selling, and rental costs associated with real estate projects. They also provide guidance for the accounting for initial rental operations and criteria for determining when the status of a rental project changes from nonoperating to operating.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

- 970-10-15-1** The Subtopics within the Real Estate—General Topic only provide incremental industry-specific guidance for the entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.
- 970-10-15-2** The General Subsection of this Section establishes the pervasive scope for this Subtopic, with specific qualifications noted in the other Subsections of this Section.

> Entities

- 970-10-15-3** The guidance in this Topic applies to all entities with productive activities relating to real property, excluding property used primarily in the entity's non-real estate operations.

Real Estate Syndication

> Overall Guidance

- 970-10-15-4** The Real Estate Syndication Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see the [General Subsection](#) of Section 970-10-15, with specific qualifications noted below.

> Entities

970-10-15-5 The guidance in this Topic applies to all entities with productive activities relating to real property, excluding property used primarily in the entity's non-real estate operations.

Real Estate Project Costs

> Overall Guidance

970-10-15-6 The Real Estate [Project Costs](#) Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see the [General Subsection](#) of Section 970-10-15, with specific qualifications noted below.

> Entities

970-10-15-7 The guidance in the Real Estate Project Costs Subsections applies to all entities with productive activities relating to real property, excluding property used primarily in the entity's non-real estate operations.

> Transactions

970-10-15-8 The guidance in the Real Estate Project Costs Subsections does not apply to the following transactions and activities:

- a. Real estate developed by an entity for use in its own operations, other than for sale or rental. In this context, real estate developed by a member of a consolidated group for use in the operations of another member of the group (for example, a manufacturing facility developed by a subsidiary for use in its parent's operations) when the property is reported in the group's consolidated financial statements. However, this does not include property reported in the separate financial statements of the entity that developed it.
- b. Initial direct costs of leases, which are defined in Topic [842](#). The accounting for initial direct costs of leases is prescribed in that Topic.
- c. Costs directly related to manufacturing, merchandising, or service activities as distinguished from real estate activities.

970-10-15-9 Paragraphs [970-340-25-16 through 25-19](#) and [970-340-35-2](#) do not apply to real estate rental activity in which the predominant rental period is less than one month.

970-10-15-10 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-10-15-11 This Subsection specifies the accounting for the following as they relate to real estate projects:

- a. [Preacquisition costs](#)
- b. Taxes and insurance
- c. Project costs
- d. [Amenities](#)
- e. [Incidental operations](#)
- f. Allocation of capitalized costs to components of a real estate project

- g. Revisions of estimates
- h. Abandonments and changes in use
- i. Selling costs
- j. Rental costs
- k. Reductions in the carrying amounts of real estate assets prescribed by the Impairment or Disposal of Long-Lived Assets Subsections of Subtopic [360-10](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Amenities

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Incidental Operations

Revenue-producing activities engaged in during the holding or development period to reduce the cost of developing the property for its intended use, as distinguished from activities designed to generate a profit or a return from the use of the property.

Preacquisition Costs

Costs related to a property that are incurred for the express purpose of, but prior to, obtaining that property. Examples of preacquisition costs may be costs of surveying, zoning or traffic studies, or payments to obtain an option on the property.

Project Costs

Costs clearly associated with the acquisition, development, and construction of a real estate project.

Promised Amenities

Amenities that a developer is obligated to construct under the terms of time-sharing contracts with purchasers. See also [Amenities](#).

Real Estate Venture

Any of the following: a joint venture, a general partnership, a limited partnership, and an undivided interest.

Syndication Activities

Efforts to directly or indirectly sponsor the formation of entities that acquire interests in real estate by raising funds from investors. As consideration for their investments, the investors receive ownership or other financial interests in the sponsored entities. All general partners in syndicated partnerships are deemed to perform syndication activities.

S50 Disclosure

i General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Supplemental Schedules

- 970-10-S50-1** See paragraph [948-310-S99-1](#), Regulation S-X, Rule 12-29, for the required supplemental schedule disclosing mortgage loans on real estate.
- 970-10-S50-2** See paragraph [970-10-S99-1](#), SAB Topic 7.C, for SEC Staff views on the inclusion of certain supplemental schedules in annual reports.

S99 SEC Materials

i General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Staff Accounting Bulletins

· · > SAB Topic 7.C, Schedules of Real Estate and Accumulated Depreciation, and of Mortgage Loans on Real Estate

970-10-S99-1 The following is the text of SAB Topic 7.C, Schedules of Real Estate and Accumulated Depreciation, and of Mortgage Loans on Real Estate.

Facts: Whenever investments in real estate or mortgage loans on real estate are significant, the schedules of such items (see Rules 12-28 and 12-29 of Regulation S-X) are required in a prospectus.

Question: Is such information also required in annual reports to shareholders?

Interpretive Response: Although Rules 14a-3 and 14c-3 permit the omission of financial statement schedules from annual reports to shareholders, the staff is of the view that the information required by these schedules is of such significance within the real estate industry that the information should be included in the financial statements in the annual report to shareholders.

970 Real Estate—General

230 Statement of Cash Flows

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-230-05-1 This Subtopic provides cash flow classification guidance regarding cash payments to purchase real estate.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-230-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

970-230-45-1 The definitions of operating and investing activities in Topic [230](#) provide flexibility for the appropriate classification of cash receipts and payments for assets that generally are productive assets but in certain cases may be inventory. For example, real estate generally is considered a productive asset, and a cash payment to purchase real estate generally is an investing cash outflow. However, if real estate is acquired by a real estate developer to be subdivided, improved, and sold in individual lots, then the cash payment to purchase that real estate would be classified as an operating cash flow because the real estate is acquired specifically for resale and is similar to inventory in other businesses.

970 Real Estate—General

323 Investments—Equity Method and Joint Ventures

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-323-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Corporate Joint Venture	Amended	Accounting Standards Update No. 2010-08	02/02/2010
Kick-Out Rights (Voting Interest Entity definition)	Added	Accounting Standards Update No. 2015-02	02/18/2015
Noncontrolling Interest	Added	Accounting Standards Update No. 2017-05	02/22/2017
970-323-05-4	Amended	Accounting Standards Update No. 2025-12	12/17/2025
970-323-15-2	Amended	Accounting Standards Update No. 2012-04	10/01/2012
970-323-25-5	Amended	Accounting Standards Update No. 2015-02	02/18/2015
970-323-25-6	Amended	Accounting Standards Update No. 2016-01	01/05/2016
970-323-25-7	Superseded	Accounting Standards Update No. 2016-01	01/05/2016
970-323-25-8	Amended	Accounting Standards Update No. 2016-01	01/05/2016
970-323-25-8	Amended	Accounting Standards Update No. 2015-02	02/18/2015
970-323-25-8	Amended	Accounting Standards Update No. 2009-02	07/01/2009
970-323-25-11	Amended	Accounting Standards Update No. 2016-01	01/05/2016
970-323-25-11	Amended	Accounting Standards Update No. 2010-08	02/02/2010
970-323-30-3	Amended	Accounting Standards Update No. 2017-05	02/22/2017
970-323-30-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-323-30-4	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
970-323-30-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-323-30-5	Superseded	Accounting Standards Update No. 2017-05	02/22/2017
970-323-30-6	Amended	Accounting Standards Update No. 2017-05	02/22/2017
970-323-30-6	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-323-35-14	Amended	Accounting Standards Update No. 2017-05	02/22/2017
970-323-35-15	Amended	Accounting Standards Update No. 2017-05	02/22/2017
970-323-40-1	Amended	Maintenance Update 2021-02 	01/19/2021
970-323-40-1	Amended	Accounting Standards Update No. 2017-05	02/22/2017
970-323-40-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 970-323-05-1** This Subtopic provides accounting guidance on various forms of real estate ownership. In addition it addresses investor accounting for certain transactions with a [real estate venture](#).
- 970-323-05-2** Ownership of real estate or real estate development projects by two or more entities may take several forms. The most common forms are a [corporate joint venture](#), a [general partnership](#), a [limited partnership](#), or an [undivided interest](#).
- 970-323-05-3** In this Subtopic, the terms venture and real estate venture apply to all of these ownership arrangements described above. These forms of ownership differ in legal form and economic substance.
- 970-323-05-4** See Subtopic [323-740](#) for guidance on accounting for qualified affordable housing investments.

 PENDING CONTENT



Transition Date:  December 16, 2026;  December 16, 2026 | **Transition Guidance:** [105-10-65-10](#)

See Subtopic [323-740](#) for guidance on the use of the proportional amortization method to investments made primarily for the purpose of receiving income tax credits and other income tax benefits.

- 970-323-05-5** The [Acquisition, Development, and Construction Subsection](#) of Section 310-10-15 addresses [acquisition, development, and construction arrangements](#) in which the lender participates in expected residual profit. The [Acquisition, Development, and Construction Subsection](#) of Section 310-10-25 provides criteria for distinguishing between such arrangements that shall be accounted for as loans or real estate joint ventures, and provides accounting guidance for circumstances in which such arrangements are required to be accounted for as real estate joint ventures.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-323-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#), with specific entity exceptions noted below.

> Entities

970-323-15-2 The guidance in this Subtopic does not apply to the following entities:

- a. Regulated investment entities and other entities that are required to account for investments at fair value.

970-323-15-3 See Sections [946-10-15](#) and [946-323-15](#) for applicability to unincorporated joint ventures and non-regulated investment entities.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Acquisition, Development, and Construction Arrangements](#)

Acquisition, development, or construction arrangements, in which a lender, usually a financial institution, participates in expected residual profit from the sale or refinancing of property.

[Corporate Joint Venture](#)

A corporation owned and operated by a small group of entities (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a corporate joint venture frequently is to share risks and rewards in developing a new market, product or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A corporate joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a corporate joint venture. The ownership of a corporate joint venture seldom changes, and its stock is usually not traded publicly. A noncontrolling interest held by public ownership, however, does not preclude a corporation from being a corporate joint venture.

General Partnership

An association in which each partner has unlimited liability.

Joint Control

Occurs if decisions regarding the financing, development, sale, or operations require the approval of two or more of the owners.

Kick-Out Rights (Voting Interest Entity Definition)

The rights underlying the limited partner's or partners' ability to dissolve (liquidate) the limited partnership or otherwise remove the general partners without cause.

Limited Partnership

An association in which one or more general partners have unlimited liability and one or more partners have limited liability. A limited partnership is usually managed by the general partner or partners, subject to limitations, if any, imposed by the partnership agreement.

Noncontrolling Interest

The portion of equity (net assets) in a subsidiary not attributable, directly or indirectly, to a parent. A noncontrolling interest is sometimes called a minority interest.

Real Estate Venture

Any of the following: a joint venture, a general partnership, a limited partnership, and an undivided interest.

Syndication Activities

Efforts to directly or indirectly sponsor the formation of entities that acquire interests in real estate by raising funds from investors. As consideration for their investments, the investors receive ownership or other financial interests in the sponsored entities. All general partners in syndicated partnerships are deemed to perform syndication activities.

Undivided Interest

An ownership arrangement in which two or more parties jointly own property, and title is held individually to the extent of each party's interest.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

970-323-25-1 [Paragraph not used.](#)

> General Partnerships

970-323-25-2 Paragraph [970-810-25-2](#) states that a noncontrolling investor in a [general partnership](#) shall account for its investment by the equity method and should be guided by the provisions of Topic [323](#).

970-323-25-3 Many provisions of Topic [323](#) are appropriate in accounting for investments in certain unincorporated entities. The principal difference, aside from income tax considerations, between corporate joint ventures and general partnerships is that the individual investors in general partnerships usually assume joint and several liability. The equity method, however, enables noncontrolling investors in general partnerships to reflect the underlying nature of their investments in those ventures as well as it does for investors in corporate joint ventures. Accordingly, investments in noncontrolled real estate general partnerships shall be accounted for and reported under the equity method.

970-323-25-4 An entity shall apply the one-line equity method of presentation in both the balance sheet and the statement of income. Pro rata consolidation is not appropriate except in the limited circumstances described in paragraph [810-10-45-14](#). Topic [323](#) shall be used as a guide in applying the equity method.

> Limited Partnerships

970-323-25-5 For guidance on determining whether a general partner or a limited partner shall consolidate a [limited partnership](#) or apply the equity method of accounting to its interests in the limited partnership, see

paragraph [970-810-25-3](#).

970-323-25-6 The equity method of accounting for investments in general partnerships is generally appropriate for accounting by limited partners for their investments in limited partnerships. A limited partner's interest may be so minor that the limited partner may have virtually no influence over partnership operating and financial policies. Such a limited partner is, in substance, in the same position with respect to the investment as an investor that owns a minor common stock interest in a corporation, and, accordingly, the limited partner should account for its investment in accordance with Topic [321](#).

970-323-25-7 [Paragraph superseded by Accounting Standards Update No. 2016-01.](#)

970-323-25-8 If the substance of the partnership arrangement is such that the general partners are not in control of the major operating and financial policies of the partnership, a limited partner may be in control. An example could be a limited partner holding over 50 percent of the limited partnership's [kick-out rights](#) through voting interests in accordance with paragraph [810-10-15-8A](#). A controlling limited partner shall be guided in accounting for its investment by the principles for investments in subsidiaries in Topic [810](#) on consolidation. Noncontrolling limited partners shall account for their investments by the equity method and shall be guided by the provisions of Topic [323](#), as discussed in the guidance beginning in paragraph [970-323-25-5](#), or by the guidance in Topic [321](#).

> Corporate Joint Ventures

970-323-25-9 Topic [323](#) provides the standards for use of the equity method for [corporate joint ventures](#) and includes guidance for applying that method in the financial statements of the investor. That Topic applies to corporate joint ventures created to own or operate real estate projects.

970-323-25-10 Accordingly, an investment in a corporate subsidiary that is a [real estate venture](#) shall be accounted for by the investor-parent using the principles applicable to investments in subsidiaries rather than those applicable to investments in corporate joint ventures.

970-323-25-11 Noncontrolling shareholders in such a real estate venture shall account for their investment using the principles applicable to investments in common stock set forth in Topic [321](#) or [323](#).

> Undivided Interests

970-323-25-12 If real property owned by undivided interests is subject to [joint control](#) by the owners, the investor-venturers shall not present their investments by accounting for their pro rata share of the assets, liabilities, revenues, and expenses of the ventures. Most real estate ventures with ownership in the form of undivided interests are subject to some level of joint control. Accordingly, such investments shall be presented in the same manner as investments in noncontrolled partnerships.

> Acquisition, Development, and Construction Arrangements

970-323-25-13 See the [Acquisition, Development, and Construction Subsection](#) of Section 310-10-25 for a discussion of when [acquisition, development, and construction arrangements](#) are required to be accounted for as a real estate joint venture rather than a loan. In those circumstances, the [Acquisition, Development, and Construction Subsection](#) of Section 310-10-35, and the [Acquisition, Development, and Construction Subsection](#) of Section 310-10-40 provide further guidance for accounting for such arrangements.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

> Accounting by the Investor for Certain Transactions with a Real Estate Venture

970-323-30-1 The guidance in this Section applies to investments accounted for by the equity method.

· > Contribution of Cash

970-323-30-2 If all investors contribute cash at the formation of the [real estate venture](#), each investor shall record its investment at the amount of the cash contributed.

· > Contribution of Real Estate

970-323-30-3 An investor that contributes real estate to the capital of a real estate venture generally should record its investment in the venture at fair value when the real estate is derecognized, regardless of whether the other investors contribute cash, property, or services. The transaction shall be accounted for in accordance with the guidance in paragraphs [360-10-40-3A through 40-3C](#). Some transactions are sales of an ownership interest that result in an entity being an investor in a real estate venture. An example of such a transaction includes one in which investor A contributes real estate with a fair value of \$2,000 to a venture and investor B contributes cash in the amount of \$1,000. The real estate is not considered a business or nonprofit activity and, therefore, is within the scope of Subtopic [610-20](#) on gains and losses from the derecognition of nonfinancial assets. Investor A immediately withdraws the cash contributed by investor B and, following such contributions and withdrawals, each investor has a 50 percent interest in the venture (the only asset of which is the real estate). Assuming investor A does not have a controlling financial interest in the venture, investor A applies the guidance in paragraphs [610-20-25-5](#) and [610-20-25-7](#). When investor A meets the criteria to derecognize the property, investor A measures its retained ownership interest at fair value consistent with the guidance in paragraph [610-20-32-4](#) and includes that amount in the consideration used in calculating the gain or loss on derecognition of the property.

970-323-30-4 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

970-323-30-5 [Paragraph superseded by Accounting Standards Update No. 2017-05.](#)

· > Contribution of Services or Intangibles

970-323-30-6 The contribution of real property or an intangible to a partnership or joint venture shall be accounted for in accordance with Subtopic [610-20](#). The contribution of services or real estate [syndication activities](#) in which the syndicators receive or retain partnership interests are accounted for in accordance with the guidance in Topic [606](#) on revenue from contracts with customers.

· > Purchase of Real Estate or Services from a Venture

970-323-30-7 An investor shall not record as income its equity in the venture's profit from a sale of real estate to that investor; the investor's share of such profit shall be recorded as a reduction in the carrying amount of the purchased real estate and recognized as income on a pro rata basis as the real estate is depreciated or when it is sold to a third party. Similarly, if a venture performs services for an investor and the cost of those services is capitalized by the investor, the investor's share of the venture's profit in the transaction shall be recorded as a reduction in the carrying amount of the capitalized cost.

35 Subsequent Measurement

 **General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Applying the Equity Method

970-323-35-1 The guidance in this Section applies to investments accounted for by the equity method.

· > Investor Accounting for Losses

970-323-35-2 Investors shall record their share of the real estate venture's losses, determined in conformity with generally accepted accounting principles (GAAP), without regard to unrealized increases in the estimated fair value of the venture's assets.

970-323-35-3 An investor that is liable for the obligations of the venture or is otherwise committed to provide additional financial support to the venture shall record its equity in [real estate venture](#) losses in excess of its investment, including loans and advances.

970-323-35-4 The following are examples of such circumstances:

- The investor has a legal obligation as a guarantor or general partner.
- The investor has indicated a commitment, based on considerations such as business reputation, intra-entity relationships, or credit standing, to provide additional financial support. Such a commitment might be indicated by previous support provided by the investor or

statements by the investor to other investors or third parties of the investor's intention to provide support.

- 970-323-35-5** An investor, though not liable or otherwise committed to provide additional financial support, shall provide for losses in excess of investment when the imminent return to profitable operations by the venture appears to be assured. For example, a material nonrecurring loss of an isolated nature, or start-up losses, may reduce an investment below zero though the underlying profitable pattern of an investee is unimpaired.
- 970-323-35-6** An investor in a real estate venture shall report its recorded share of losses in excess of its investment, including loans and advances, as a liability in its financial statements.
- 970-323-35-7** If an investor does not recognize venture losses in excess of its investment, loans, and advances and the venture subsequently reports net income, the investor shall resume applying the equity method only after its share of such net income equals the share of net losses not recognized during the period in which equity accounting was suspended.
- 970-323-35-8** If it is probable that one or more investors cannot bear their share of losses, the remaining investors shall record their proportionate shares of venture losses otherwise allocable to investors considered unable to bear their share of losses. This does not apply for real property jointly owned and operated as undivided interests in assets if the claims or liens of investors' creditors are limited to investors' respective interests in such property.
- 970-323-35-9** When the venture subsequently reports income, those remaining investors shall record their proportionate share of the venture's net income otherwise allocable to investors considered unable to bear their share of losses until such income equals the excess losses they previously recorded. An investor who is deemed by other investors to be unable to bear its share of losses shall continue to record its contractual share of losses unless it is relieved from the obligation to make payment by agreement or operation of law.
- 970-323-35-10** The accounting by an investor for losses otherwise allocable to other investors shall be governed by the provisions of Subtopic [450-20](#) relating to loss contingencies. Accordingly, the investor shall record a proportionate share of the losses otherwise allocable to other investors if it is probable that they will not bear their share. In this connection, each investor shall look primarily to the fair value of the other investors' interests in the venture and the extent to which the venture's debt is nonrecourse in evaluating their ability and willingness to bear their allocable share of losses. An investor may not be able to apply the general rule to an investment in an [undivided interest](#) because the extent to which the interests of other investors are encumbered by liens may not be known. However, there may be satisfactory alternative evidence of an ability and willingness of other investors to bear their allocable share of losses. Such evidence might be, for example, that those investors previously made loans or contributions to support cash deficits, possess satisfactory financial standing (as may be evidenced by satisfactory credit ratings), or have provided adequately collateralized guarantees.
- 970-323-35-11** See Section [323-10-35](#) for additional guidance regarding accounting by equity method investor for investee losses when the investor has both loans and equity interest.

· > Other than Temporary Decline in Value of an Investment

- 970-323-35-12** A loss in value of an investment other than a temporary decline shall be recognized. Such a loss in value may be indicated, for example, by a decision by other investors to cease providing support or reduce their financial commitment to the venture.
- 970-323-35-13** If a transaction with a real estate venture confirms that there has been a loss in the value of the asset sold that is other than temporary and that has not been recognized previously, the loss shall be recognized on the books of the transferor.

· > Intra-Entity Profit and Losses

970-323-35-14 Intra-entity profit shall be eliminated by the investor in relation to the investor's [noncontrolling interest](#) in the investee, unless one of the exceptions in paragraph [323-10-35-7](#) applies. An investor that controls the investee and enters into a transaction with the investee shall eliminate all of the interentity profit on assets remaining within the group. (See Subsection [323-30-35](#) for accounting guidance concerning partnership ownership interest.)

970-323-35-15 A sale of property in which the seller holds or acquires a noncontrolling interest in the buyer shall be evaluated in accordance with the guidance in paragraphs [360-10-40-3A through 40-3B](#). No profit shall be recognized if the seller controls the buyer.

· > Allocation Ratios

970-323-35-16 Venture agreements may designate different allocations among the investors for any of the following:

- Profits and losses
- Specified costs and expenses
- Distributions of cash from operations
- Distributions of cash proceeds from liquidation.

970-323-35-17 Such agreements may also provide for changes in the allocations at specified times or on the occurrence of specified events. Accounting by the investors for their equity in the venture's earnings under such agreements requires careful consideration of substance over form and consideration of underlying values as discussed in paragraph [970-323-35-10](#). To determine the investor's share of venture net income or loss, such agreements or arrangements shall be analyzed to determine how an increase or decrease in net assets of the venture (determined in conformity with GAAP) will affect cash payments to the investor over the life of the venture and on its liquidation. Specified profit and loss allocation ratios shall not be used to determine an investor's equity in venture earnings if the allocation of cash distributions and liquidating distributions are determined on some other basis. For example, if a venture agreement between two investors purports to allocate all depreciation expense to one investor and to allocate all other revenues and expenses equally, but further provides that irrespective of such allocations, distributions to the investors will be made simultaneously and divided equally between them, there is no substance to the purported allocation of depreciation expense.

970-323-35-18 See Section [323-30-25](#) for guidance concerning partnership profit recognition.

> Accounting for Other Transactions with a Real Estate Venture

· > Acquisition, Development, and Construction Arrangements

970-323-35-19 See the [Acquisition, Development, and Construction Subsection](#) of Section 310-10-35 for additional guidance concerning subsequent measurement of [acquisition, development, and construction arrangements](#) that are required to be accounted for as real estate joint ventures under that guidance.

· > Other Considerations

970-323-35-20 In the real estate industry, the accounts of a venture may reflect accounting practices, such as those used to prepare tax basis data for investors, that vary from GAAP. If the financial statements of the investor are to be prepared in conformity with GAAP, such variances that are material shall be eliminated in applying the equity method.

- 970-323-35-21** See Section [323-30-35](#) regarding income tax to be provided on profits accrued by investor-partners and tax liabilities applicable to partnership interests.
- 970-323-35-22** Interest on loans and advances that are in substance capital contributions (for example, if all the investors are required to make loans and advances proportionate to their equity interests) shall be accounted for as distributions rather than as interest income by the investors.

40 Derecognition

- i General Note:** The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

> Sale of an Investment in a Real Estate Venture

- 970-323-40-1** A sale of an investment in a consolidated [real estate venture](#) (including the sale of stock in a corporate real estate venture) shall be evaluated under the guidelines set forth in paragraphs [360-10-40-3A through 40-3B](#). The sale of a noncontrolling investment in a real estate venture that is being accounted for in accordance with Topic [320](#) on investments—debt securities; Topic [321](#) on investments—equity securities; Topic [323](#) on investments—equity method and joint ventures; or Topic [325](#) on investments—other, shall be accounted for in accordance with the guidance in Topic [860](#) on transfers and servicing.

> Acquisition, Development, and Construction Arrangements

- 970-323-40-2** See the [Acquisition, Development, and Construction Subsection](#) of Section 310-10-40 for additional guidance concerning derecognition of [acquisition, development, and construction arrangements](#) that are required to be accounted for as real estate joint ventures under that guidance.

45 Other Presentation Matters

- i General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash

flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

970-323-45-1 See Section [970-323-25](#) for discussion of certain presentation matters.

970 Real Estate—General
340 Other Assets and Deferred Costs
00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-340-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Contract	Added	Accounting Standards Update No. 2016-02	02/25/2016
Direct Financing Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Direct Financing Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Finance Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Initial Direct Costs	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lease Term	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessee	Added	Accounting Standards Update No. 2016-02	02/25/2016
Lessor	Added	Accounting Standards Update No. 2016-02	02/25/2016
Operating Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Phase (1st def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014
Phase (2nd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014

Sales-Type Lease	Amended	Accounting Standards Update No. 2021-05	07/19/2021
Sales-Type Lease	Added	Accounting Standards Update No. 2016-02	02/25/2016
Underlying Asset	Added	Accounting Standards Update No. 2016-02	02/25/2016
970-340-25-10	Amended	Accounting Standards Update No. 2014-06	03/14/2014
970-340-25-13	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-340-25-14	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-340-25-15	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-340-25-16	Amended	Accounting Standards Update No. 2016-02	02/25/2016
970-340-25-18	Added	Accounting Standards Update No. 2014-09	05/28/2014
970-340-25-19	Added	Accounting Standards Update No. 2014-09	05/28/2014
970-340-35-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-340-35-2	Amended	Accounting Standards Update No. 2016-02	02/25/2016
970-340-35-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-340-40-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-340-05-1 The content in this Subtopic is contained in the Real Estate [Project Costs](#) Subsections.

Real Estate Project Costs

970-340-05-2 The Real Estate [Project Costs](#) Subsections of this Subtopic provide accounting guidance concerning the capitalization, measurement, and derecognition of certain real estate project costs.

970-340-05-3 See also Subtopic [835-20](#) for additional guidance related to interest costs that can be capitalized into project costs.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-340-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

Real Estate Project Costs

> Overall Guidance

970-340-15-2 The Real Estate [Project Costs](#) Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the [Real Estate Project Costs Subsection](#) of Section 970-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Amenities

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Common Costs

Costs that relate to two or more units or phases within a real estate or time-sharing project.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Costs Incurred to Rent Real Estate Projects

Costs related to real estate rental activities, including the following:

- a. Model units and their furnishings
- b. Rental facilities
- c. Semipermanent signs
- d. Rental brochures
- e. Advertising
- f. Grand openings
- g. Rental overhead including rental salaries.

Costs Incurred to Sell Real Estate Projects

Costs related to the sale of real estate, including the following:

- a. Model units and their furnishings
- b. Sales facilities
- c. Sales brochures
- d. Legal fees for preparation of prospectuses
- e. Semipermanent signs
- f. Advertising
- g. Grand openings
- h. Sales overhead including sales salaries.

Direct Financing Lease

From the perspective of a **lessor**, a **lease** that meets none of the criteria in paragraph 842-10-25-2 but meets the criteria in paragraph 842-10-25-3(b) and is not an operating lease in accordance with paragraph 842-10-25-3A.

Finance Lease

From the perspective of a **lessee**, a **lease** that meets one or more of the criteria in paragraph 842-10-25-2.

Incremental Costs of Incidental Operations

Costs that would not be incurred except in relation to the conduct of incidental operations. Interest, taxes, insurance, security, and similar costs that would be incurred during the development of a real estate project regardless of whether incidental operations were conducted are not incremental costs.

Incremental Revenues from Incidental Operations

Revenues that would not be produced except in relation to the conduct of incidental operations.

Initial Direct Costs

Incremental costs of a [lease](#) that would not have been incurred if the lease had not been obtained.

Lease

A [contract](#), or part of a contract, that conveys the right to control the use of identified property, plant, or equipment (an identified asset) for a period of time in exchange for consideration.

Lease Term

The noncancellable period for which a [lessee](#) has the right to use an [underlying asset](#), together with all of the following:

- a. Periods covered by an option to extend the [lease](#) if the lessee is reasonably certain to exercise that option
- b. Periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option
- c. Periods covered by an option to extend (or not to terminate) the lease in which exercise of the option is controlled by the [lessor](#).

Lessee

An entity that enters into a [contract](#) to obtain the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Lessor

An entity that enters into a [contract](#) to provide the right to use an [underlying asset](#) for a period of time in exchange for consideration.

Operating Lease

From the perspective of a [lessee](#), any [lease](#) other than a [finance lease](#).

From the perspective of a [lessor](#), any lease other than a [sales-type lease](#) or a [direct financing lease](#).

Phase

A contractually or physically distinguishable portion of a real estate project (including time-sharing projects). That portion is distinguishable from other portions based on shared characteristics such as:

- a. Units a developer has declared or legally registered to be for sale
- b. Units linked to an owners association
- c. Units to be constructed during a particular time period
- d. How a developer plans to build the real estate project.

Preacquisition Costs

Costs related to a property that are incurred for the express purpose of, but prior to, obtaining that property. Examples of preacquisition costs may be costs of surveying, zoning or traffic studies, or payments to obtain an option on the property.

Project Costs

Costs clearly associated with the acquisition, development, and construction of a real estate project.

Promised Amenities

Amenities that a developer is obligated to construct under the terms of time-sharing contracts with purchasers. See also [Amenities](#).

Sales-Type Lease

From the perspective of a [lessor](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Underlying Asset

An asset that is the subject of a [lease](#) for which a right to use that asset has been conveyed to a [lessee](#). The underlying asset could be a physically distinct portion of a single asset.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

Real Estate Project Costs

> Acquisition, Development, and Construction Costs

· > Preacquisition Costs

- 970-340-25-1** This Subsection does not address the accounting for costs incurred for acquisitions of property that will be used in the entity's own operations, other than for sale or rental.
- 970-340-25-2** Paragraphs [310-20-55-9 through 55-10](#) provides guidance on how to distinguish between internal and external costs. The capitalization provisions of this Section for [preacquisition costs](#) apply to internally generated costs.
- 970-340-25-3** Payments to obtain an option to acquire real property shall be capitalized as incurred. All other costs related to a property that are incurred before the entity acquires the property, or before the entity obtains an option to acquire it, shall be capitalized if all of the following conditions are met and otherwise shall be charged to expense as incurred:
- The costs are directly identifiable with the specific property.
 - The costs would be capitalized if the property were already acquired.
 - Acquisition of the property or of an option to acquire the property is probable (that is, likely to occur). This condition requires that the prospective purchaser is actively seeking to acquire the

property and has the ability to finance or obtain financing for the acquisition and that there is no indication that the property is not available for sale.

- 970-340-25-4** Capitalized preacquisition costs either:
- Shall be included as [project costs](#) upon the acquisition of the property
 - To the extent not recoverable by the sale of the options, plans, and so forth, shall be charged to expense when it is probable that the property will not be acquired.
- 970-340-25-5** The view that all internal costs of identifying and acquiring commercial properties should be deferred and, in some manner, capitalized as part of the cost of successful property acquisitions is not appropriate.
- 970-340-25-6** Internal costs of preacquisition activities incurred in connection with the acquisition of a property that will be classified as nonoperating at the date of acquisition that are directly identifiable with the acquired property and that were incurred subsequent to the time that acquisition of that specific property was considered probable (that is, likely to occur) shall be capitalized as part of the cost of that acquisition.
- 970-340-25-7** Paragraph [970-340-25-17](#) is also applicable in situations in which the acquired property is partially operating and partially nonoperating.

· > Property Taxes and Insurance

- 970-340-25-8** Costs incurred on real estate for property taxes and insurance shall be capitalized as property cost only during periods in which activities necessary to get the property ready for its intended use are in progress. The phrase *activities necessary to get the property ready for its intended use are in progress* is used here with the same meaning as it has for interest capitalization in paragraphs [835-20-25-3 through 25-4](#) and [835-20-25-8](#). Costs incurred for such items after the property is substantially complete and ready for its intended use shall be charged to expense as incurred. The phrase *substantially complete and ready for its intended use* is used here with the same meaning as it has for interest capitalization in paragraph [835-20-25-5](#).

· > Amenities

- 970-340-25-9** Accounting for costs of [amenities](#) shall be based on management's plans for the amenities in accordance with the following:
- If an amenity is to be sold or transferred in connection with the sale of individual units, costs in excess of anticipated proceeds shall be allocated as [common costs](#) because the amenity is clearly associated with the development and sale of the project. The common costs include expected future operating costs to be borne by the developer until they are assumed by buyers of units in a project.
 - If an amenity is to be sold separately or retained by the developer, capitalizable costs of the amenity in excess of its estimated fair value as of the expected date of its substantial physical completion shall be allocated as common costs. For the purpose of determining the amount to be capitalized as common costs, the amount of cost previously allocated to the amenity shall not be revised after the amenity is substantially completed and available for use. A later sale of the amenity at more or less than its estimated fair value as of the date of substantial physical completion, less any accumulated depreciation, results in a gain or loss that shall be included in net income in the period in which the sale occurs.
- 970-340-25-10** Costs of amenities shall be allocated among land parcels benefited and for which development is probable. A land parcel may be considered to be an individual lot or unit, an amenity, or a [phase](#). The fair value of a parcel is affected by its physical characteristics, its highest and best use, and the time

and cost required for the buyer to make such use of the property considering access, development plans, zoning restrictions, and market absorption factors.

- 970-340-25-11** Before an amenity is substantially completed and available for use, operating income (or loss) of the amenity shall be included as a reduction of (or an addition to) common costs. When an amenity to be sold separately or retained by the developer is substantially completed and available for use, current operating income and expenses of the amenity shall be included in current operating results.

· > Incidental Operations

- 970-340-25-12** [Incremental revenues from incidental operations](#) in excess of [incremental costs of incidental operations](#) shall be accounted for as a reduction of capitalized project costs. Incremental costs in excess of incremental revenue shall be charged to expense as incurred, because the incidental operations did not achieve the objective of reducing the costs of developing the property for its intended use.

> Costs Incurred to Sell and Rent Real Estate Projects, Including Initial Rental Operations

· > Costs Incurred to Sell Real Estate Projects

- 970-340-25-13** [Costs incurred to sell real estate projects](#) shall be evaluated for capitalization in accordance with paragraphs [340-40-25-1](#) through [25-8](#).

- a. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)
- b. [Subparagraph superseded by Accounting Standards Update No. 2014-09.](#)

- 970-340-25-14** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

- 970-340-25-15** [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

· > Costs Incurred to Rent Real Estate Projects

- 970-340-25-16** If [costs incurred to rent real estate projects](#), other than [initial direct costs](#), under [operating leases](#) or [direct financing leases](#) are related to and their recovery is reasonably expected from future rental operations, they shall be capitalized. Examples are costs of model units and their furnishings, rental facilities, semipermanent signs, grand openings, and unused rental brochures. Costs that do not meet the criteria for capitalization shall be expensed as incurred, for example, rental overhead. Initial direct costs are defined in Topic [842](#) and the accounting for initial direct costs is prescribed in that Topic.

- 970-340-25-17** If portions of a rental project are substantially completed and occupied by tenants or held available for occupancy and other portions have not yet reached that stage, the substantially completed portions shall be accounted for as a separate project. Costs incurred shall be allocated between the portions under construction and the portions substantially completed and held available for occupancy.

> Initial Rental Operations

- 970-340-25-18** When a real estate project is substantially completed and held available for occupancy:
- a. Rental operating costs shall be charged to expense when incurred.
 - b. All carrying costs (such as real estate taxes) shall be charged to expense when incurred, depreciation on the cost of the project shall be provided.

c. Costs to rent the project shall be amortized in accordance with paragraph [970-340-35-2](#).

970-340-25-19 A real estate project shall be considered substantially completed and held available for occupancy upon completion of tenant improvements by the developer but no later than one year from cessation of major construction activity (as distinguished from activities such as routine maintenance and cleanup).

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Real Estate Project Costs

> Determining Amounts to Be Capitalized or Expensed

· > Revision of Estimates

970-340-35-1 Estimates and cost allocations shall be reviewed at the end of each financial reporting period until a project is substantially completed and available for sale. Costs shall be revised and reallocated as necessary for material changes on the basis of current estimates. Changes in estimates shall be reported in accordance with paragraphs [250-10-45-17 through 45-20](#) and [250-10-50-4](#).

· > Costs Incurred to Rent Real Estate Projects

970-340-35-2 Capitalized rental costs directly related to revenue from a specific [operating lease](#) or [direct financing lease](#), other than [initial direct costs](#), shall be amortized over the [lease term](#). Capitalized rental costs, other than initial direct costs, not directly related to revenue from a specific [lease](#) shall be amortized over the period of expected benefit. The amortization period shall begin when the project is substantially completed and held available for occupancy. See paragraphs [970-340-25-18 through 25-19](#) for the definition of substantially completed and held available for occupancy. Initial direct costs are defined in Topic [842](#) on leases, and the accounting for initial direct costs is prescribed in that Topic. Topic [842](#) does not address whether a lessee that accounts for the sale or rental of real estate projects under Topic [970](#) should capitalize rental costs associated with ground and building leases.

· > Operating and Nonoperating Classifications

970-340-35-3 If an entity subsequently determines that a property will be classified as operating at the date of acquisition, the internal costs of preacquisition activities shall be charged to expense and any additional costs shall be expensed as incurred.

970-340-35-4 If an entity subsequently determines that a property will be classified as nonoperating at the date of acquisition, previously expensed internal costs of preacquisition activities shall not be capitalized as

part of the cost of that acquisition.

40 Derecognition

i General Note:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Real Estate Project Costs

970-340-40-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

> Rental Costs

970-340-40-2 Estimated unrecoverable amounts of unamortized capitalized rental costs associated with a lease or group of leases shall be charged to expense when it becomes probable that the lease(s) will be terminated.

970 Real Estate—General

360 Property, Plant, and Equipment

00 Status

i General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-360-00-1 The following table identifies the changes made to this Subtopic.			
Paragraph	Action	Accounting Standards Update	Date
Phase (1st def.)	Superseded	Accounting Standards Update No. 2014-06	03/14/2014

Phase (2nd def.)	Added	Accounting Standards Update No. 2014-06	03/14/2014
970-360-25-2	Amended	Accounting Standards Update No. 2020-10	10/29/2020
970-360-25-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-360-25-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
970-360-30-1	Amended	Accounting Standards Update No. 2014-06	03/14/2014
970-360-55-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-360-55-5	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-360-05-1 The content in this Subtopic is contained in the Real Estate Syndication Subsections and the Real Estate [Project Costs](#) Subsections.

Real Estate Syndication

970-360-05-2 The Real Estate Syndication Subsections of this Subtopic provide guidance on the accounting treatment by a real estate syndication for payments to and receipts from a real estate developer that sold property to the syndication.

Real Estate Project Costs

970-360-05-3 The Real Estate [Project Costs](#) Subsections of this Subtopic provide recognition and measurement guidance on the allocation of capitalized costs of real estate projects and changes in the use of real estate. In addition, they discuss the treatment of real estate donated or abandoned and the recoverability of the carrying amount of real estate projects.

970-360-05-4 See Subtopic [970-340](#) for additional guidance on capitalization of real estate project costs.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-360-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

Real Estate Syndication

> Overall Guidance

970-360-15-2 The Real Estate Syndication Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the [Real Estate Syndication Subsection](#) of Section 970-10-15.

Real Estate Project Costs

> Overall Guidance

970-360-15-3 The Real Estate [Project Costs](#) Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the [Real Estate Project Costs Subsection](#) of Section 970-10-15.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

[Amenities](#)

Features that enhance the attractiveness or perceived value of a time-sharing interval. Examples of amenities include golf courses, utility plants, clubhouses, swimming pools, tennis courts, indoor recreational facilities, and parking facilities. See also [Promised Amenities](#).

Blind Pool or Partially Blind Pool Partnerships

Partnerships in which investment units are sold before some or all of the properties to be acquired are identified.

Common Costs

Costs that relate to two or more units or phases within a real estate or time-sharing project.

Indirect Project Costs

Costs incurred after the acquisition of the property, such as construction administration (for example, the costs associated with a field office at a project site and the administrative personnel that staff the office), legal fees, and various office costs, that clearly relate to projects under development or construction. Examples of office costs that may be considered indirect project costs are cost accounting, design, and other departments providing services that are clearly related to real estate projects.

Phase

A contractually or physically distinguishable portion of a real estate project (including time-sharing projects). That portion is distinguishable from other portions based on shared characteristics such as:

- a. Units a developer has declared or legally registered to be for sale
- b. Units linked to an owners association
- c. Units to be constructed during a particular time period
- d. How a developer plans to build the real estate project.

Project Costs

Costs clearly associated with the acquisition, development, and construction of a real estate project.

Promised Amenities

Amenities that a developer is obligated to construct under the terms of time-sharing contracts with purchasers. See also [Amenities](#).

Relative Fair Value Before Construction

The fair value of each land parcel in a real estate project in relation to the fair value of the other parcels in the project, exclusive of value added by on-site development and construction activities.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

Real Estate Syndication

970-360-25-1 If a real estate developer sells a recently constructed office building to a public real estate syndication and negotiates a master leaseback agreement with the syndication general partner, under which the syndication pays a fee to the seller and the seller leases the vacant space at a market rate at the date of sale for a defined lease-up period, payments to and receipts from the seller shall be treated by the syndication as adjustments to the basis of the property and will affect future depreciation. See paragraph [970-360-55-3](#) for guidance if the terms of the agreement meet the definition of a derivative.

Real Estate Project Costs

> Capitalized Project Costs

970-360-25-2 [Project costs](#), which are costs that are clearly associated with the acquisition, development, and construction of a real estate project, shall be capitalized as a cost of that project. See Topic [340-40](#) for guidance on capitalization of costs that are not within the scope of this Subtopic or Subtopic [970-340](#).

970-360-25-3 [Indirect project costs](#) that relate to several projects shall be capitalized and allocated to the projects to which the costs relate.

> Assets Transferred Between Entities

970-360-25-4 See Section [974-720-25](#) for adjustment of assets that will be transferred between a real estate investment trust and its adviser.

> Other Considerations

970-360-25-5 See Section [410-20-25](#) regarding accounting for retirement and environmental costs at acquisition.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Real Estate Project Costs

> Allocation of Capitalized Costs

970-360-30-1 The capitalized costs of real estate projects shall be assigned to individual components of the project based on specific identification. If specific identification is not practicable, capitalized costs shall be allocated as follows:

- a. Land cost and all other **common costs**, including the costs of **amenities** to be allocated as common costs per paragraphs **970-340-25-9 through 25-11** (before construction), shall be allocated to each land parcel benefited. Allocation shall be based on the **relative fair value before construction**.
- b. Construction costs shall be allocated to individual units in the **phase** on the basis of relative sales value of each unit.

If allocation based on relative value also is impracticable, capitalized costs shall be allocated based on area methods (for example, square footage) or other value methods as appropriate under the circumstances.

970-360-30-2 As indicated in paragraph **970-360-35-1**, certain donated land shall be allocated to **project costs**.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Real Estate Project Costs

> Real Estate Donated to Government Agencies

970-360-35-1 Real estate donated to municipalities or other governmental agencies for uses that will benefit the project are not abandonments. The cost of the real estate donated shall be allocated as a common cost of the project.

> Changes in Use of Real Estate Acquired for Development

970-360-35-2 Changes in the use of real estate comprising a project or a portion of a project may arise after significant development and construction costs have been incurred. If the change in use is made pursuant to a formal plan for a project that is expected to produce a higher economic yield (as compared to its yield based on use before change), the development and construction costs to be charged to expense shall be limited to the amount by which the capitalized costs incurred and to be incurred exceed the estimated value of the revised project when it is substantially complete and ready for its intended use.

> Recoverability

970-360-35-3 The provisions in Subtopic [360-10](#) for long-lived assets to be disposed of by sale shall apply to a real estate project, or parts thereof, that is substantially completed and that is to be sold. The provisions in that Topic for long-lived assets to be held and used shall apply to real estate held for development, including property to be developed in the future as well as that currently under development, and to a real estate project, or parts thereof, that is substantially completed and that is to be held and used (for example, for rental). Determining whether the carrying amounts of real estate projects require recognition of an impairment loss shall be based on an evaluation of individual projects. An individual project, for this purpose, consists of components that are relatively homogeneous, integral parts of a whole (for example, individual houses in a residential tract, individual units in a condominium complex, and individual lots in a subdivision and [amenities](#)). Therefore, a multiphase development consisting of a tract of single-family houses, a condominium complex, and a lot subdivision generally would be evaluated as three separate projects.

970-360-35-4 Paragraph [360-10-35-21](#) provides examples of events or changes in circumstances that indicate that the recoverability of the carrying amount of a long-lived asset shall be assessed. Insufficient rental demand for a rental project currently under construction is an additional example that indicates that the recoverability of the real estate project shall be assessed in accordance with the provisions of Subtopic [360-10](#).

40 Derecognition

i General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

Real Estate Project Costs

> Abandonments

- 970-360-40-1** If real estate, including rights to real estate, is abandoned (for example, by allowing a mortgage to be foreclosed or a purchase option to lapse), capitalized costs of that real estate shall be expensed. Such costs shall not be allocated to other components of the project or to other projects.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Real Estate Syndication

> Implementation Guidance

- 970-360-55-1** In the following example, a real estate developer sells a recently constructed office building to a public real estate [blind pool](#) syndication. Because the property is not yet fully occupied, the general partner of the syndication negotiates a master leaseback agreement with the seller at the date of the sale. Under the terms of the agreement, the syndication pays a fee to the seller and the seller leases the vacant space at a market rate, at the sale date, for a two-year period. This payment is described as a fee in exchange for signing a master lease or as an escrowed portion of the purchase price. The syndication will relieve the seller of its future lease payment obligations on space the seller subsequently subleases to others if the sublease meets certain criteria. If the seller is unable to lease the vacant space during the two-year period, the rental payments to the syndication would substantially exceed the fee paid by the syndication.
- 970-360-55-2** Paragraph [970-360-25-1](#) states payments to and receipts from the seller should be treated by the syndication as adjustments to the basis of the property and will affect future depreciation.
- 970-360-55-3** Topic [815](#) would apply if the terms of the agreement meet the definition of a derivative. The agreement would typically meet the scope exception in paragraph [815-10-15-13](#) relating to the sales or service revenues of one of the parties to the contract since the underlying is the leasing rental revenue of the syndicate, in which case that Topic would not affect the accounting in this example.

Note on Subsection Real Estate Project Costs: Upon the effective date of Accounting Standards Update 2014-09, the Subsection below, Real Estate Project Costs, will be superseded.

Real Estate Project Costs

- 970-360-55-4 Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-360-55-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

S00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-360-S00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	970-360-S99-1	Amended	Accounting Standards Update No. 2019-07	07/26/2019

S50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

> Supplemental Schedules

- 970-360-S50-1 See paragraph 205-10-S99-6, Regulation S-X Rule 5-04(c), for the entities required to include Schedule III—Real Estate and Accumulated Depreciation in their reports.
- 970-360-S50-2 See paragraph 970-360-S99-1, Regulation S-X Rule 12-28, for the requirements of Schedule III—Real Estate and Accumulated Depreciation.

S99 SEC Materials

General Note: As more fully described in [About the Codification](#), the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Rules, Regulations, and Interpretations

· > Regulation S-X

· · > Regulation S-X Rule 12-28, Real Estate and Accumulated Depreciation

970-360-S99-1 The following is the text of Regulation S-X Rule 12-28, Real Estate and Accumulated Depreciation (17 CFR 210.12-28).

Reg. § 210.12-28 Real Estate and Accumulated Depreciation¹

(For certain real estate companies)												
Column A	Column B	Column C		Column D		Column E			Column F	Column G	Column H	Column I
Descriptions ²	Encumbrances	Initial cost to company		Cost capitalized subsequent to acquisition		Gross amount of which carried at close of period ^{3,4,5,6,7}			Accumulated depreciation	Date of construction	Date acquired	Life on which depreciation in latest statements of comprehensive income is computed
		Land	Buildings and improvements	Improvements	Carrying costs	Land	Buildings and improvements	Total				

¹ All money columns shall be totaled.

² The description for each property should include type of property (e.g., unimproved land, shopping center, garden apartments, etc.) and the geographical location.

³ The required information is to be given as to each individual investment included in column E except that an amount not exceeding 5 percent of the total of column E may be listed in one amount as "miscellaneous investments."

⁴ In a note to this schedule, furnish a reconciliation, in the following form, of the total amount at which real estate was carried at the beginning of each period for which statements of comprehensive income are required, with the total amount shown in column E:

Balance at beginning of period \$

Additions during period:

Acquisitions through foreclosure..... \$

Other acquisitions.....

Improvements etc.

Other (describe) \$

Deductions during period:

Cost of real estate sold \$

Other (describe)

Balance at close of period \$

If additions, except acquisitions through foreclosure, represent other than cash expenditures, explain. If any of the changes during the period result from transactions, directly or indirectly with affiliates, explain the bases of such transactions and state the amounts involved.

A similar reconciliation shall be furnished for the accumulated depreciation.

⁵ If any item of real estate investments has been written down or reserved against, describe the item and explain the basis for the write-down or reserve.

⁶ State in a note to column E the aggregate cost for Federal income tax purposes.

⁷ The amount of all intercompany profits included in the total of column E shall be stated if material.

[38 FR 6068, Mar. 6, 1983. Redesignated at 45 FR 63630, Sept. 25, 1980; 83 FR 50208, Oct. 4, 2018]

970 Real Estate—General

470 Debt

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-470-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	970-470-25-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-470-05-1 This Subtopic provides recognition and implementation guidance on tax increment financing entities.

970-470-05-2 Municipalities often levy special assessments to finance the construction of certain infrastructure assets or improvements or may levy special assessments for other specified purposes. Alternatively, an entity that intends to develop real estate it owns or leases may form a tax increment financing entity to finance and operate the project infrastructure. Tax increment financing entities are authorized under various state statutes to issue bonds to finance the construction of road, water, and other utility infrastructure for a specific project. Usually, all of the debt is issued by the tax increment financing entity and will be repaid by future user fees or taxes assessed to cover operating costs, such as repairs and maintenance, as well as debt service.

970-470-05-3 The Variable Interest Entities Subsections of Subtopic [810-10](#) address consolidation by business entities of variable interest entities (VIEs), which may include many special-purpose entities of the type used as tax increment financing entities.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

> Entities

970-470-15-1 The guidance in this Subtopic applies to tax increment financing entities.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

i General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

> Liability for Tax Increment Financing Entity Debt

- 970-470-25-1** If the special assessment or the assessment to be levied by the tax increment financing entity on each individual property owner is a fixed or determinable amount for a fixed or determinable period, there is a presumption that an obligation shall be recognized by the property owner. Further, with respect to tax increment financing entities, factors such as the following indicate that an entity may be contingently liable for tax increment financing entity debt, and recognition of an obligation shall be evaluated under Topic [450](#):
- The entity must satisfy any shortfall in annual debt service obligations.
 - There is a pledge of entity assets.
 - The entity provides a letter of credit in support of some or all of the tax increment financing entity debt or provides other credit enhancements.
- 970-470-25-2** If the entity is constructing facilities for its own use or operation, the presence of any of the factors in the preceding paragraph creates a presumption that the tax increment financing entity debt must be recognized as an obligation of the entity.
- 970-470-25-3** An entity's agreement to either make up shortfalls in the annual debt service requirements or guarantee the tax increment financing entity's debt, as described in Example 1, Cases C through D (see paragraphs [970-470-55-9](#) through [55-14](#)), may be guarantees under the characteristics found in paragraph [460-10-15-4](#) and subject to the initial recognition, initial measurement, and disclosure requirements of Topic [460](#).
- 970-470-25-4** See Section [970-470-55](#) for examples of accounting for special assessments and tax increment financing entities.
- 970-470-25-5** See Section [974-720-25](#) for adjustment of assets (or liabilities) transferred between a real estate investment trust and its adviser.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Accounting for Special Assessments and Tax Increment Financing Entities

970-470-55-1 This Example illustrates the guidance in paragraph [970-470-25-4](#). The following Cases illustrate the use of municipal bonds and tax increment financing entities for financing the construction of development project infrastructure assets with differing entity obligation impact:

- Municipal bonds, entity obligation for special assessment amount (Case A)
- Tax increment financing entity, entity obligation for tax increment financing entity debt (Case B)
- Tax increment financing entity, assessment to individual property owners not fixed or determinable, no entity obligation (Case C)
- Tax increment financing entity, assessment to individual property owners is not fixed or determinable, no entity obligation (Case D).

970-470-55-2 Cases A, B, C, and D share all of the following assumptions:

- The entity owns 100 percent of the land under development.
- \$10 million of bonds are issued for construction of the development infrastructure.
- The interest rate on the bonds is 6 percent and the term is 20 years.
- The annual debt service requirement is \$500,000 principal repayment plus interest accrued during the year.
- The project is expected to take 10 years to complete, and no significant sales of property are expected until the third year. All of the property under development is intended for sale.
- The property under development is subject to lien if there is a default on the assessment.

· · > Case A: Municipality Bond Issue; Entity Obligation Recognized for Special Assessment

970-470-55-3 A municipality issues bonds to finance construction of the infrastructure assets. The municipality levies a special assessment on the property that is equal to the face amount of the bonds. The special assessment bears interest at the same rate as the bonds. In this Case, if there are 100 equal-sized parcels in the development, each parcel will be assessed \$5,000 per year plus accrued interest for 20 years. The assessment remains with the property. Accordingly, upon sale or partial sale of the development, the entity must pay the remaining assessment on the property sold or the purchaser must assume the obligation.

970-470-55-4 The entity must recognize an obligation for the special assessment because the amount is fixed for a fixed period of time. Subsequent property owners that assume the obligation must recognize the obligation related to the parcels purchased.

· · > Case B: Tax Increment Financing Entity; Entity Obligation Recognized for Debt

- 970-470-55-5** A tax increment financing entity is formed to issue bonds. On completion of construction of the infrastructure assets, title to such assets (including any land upon which the infrastructure is constructed) passes from the tax increment financing entity to the municipality. The entity does not guarantee the tax increment financing entity debt.
- 970-470-55-6** Property owners will be subject to a tax on an equal basis determined by the number of lots in the district. The tax will be levied annually, based on the tax increment financing entity's debt service requirement for that year. Accordingly, if there are 100 parcels in the development, \$5,000 plus interest accrued for the year is expected to be levied on each parcel annually for the 20 years the debt is outstanding. Additional assessments may be levied by the tax increment financing entity for maintenance or other services. These assessments are in addition to normal property tax assessments.
- 970-470-55-7** Upon sale of a portion of the property, either the entity must repay a pro rata portion of the tax increment financing entity debt or the purchaser must assume the obligation.
- 970-470-55-8** The entity must recognize an obligation for the tax increment financing entity debt because the assessment in this example is a determinable amount for a determinable period of time.

· · > Case C: Tax Increment Financing Entity; No Entity Obligation Recognized

- 970-470-55-9** A tax increment financing entity is formed to issue bonds. On completion of construction of the infrastructure assets, title to such assets (including any land upon which the infrastructure is constructed) passes from the tax increment financing entity to the municipality. The entity does not guarantee the tax increment financing entity debt.
- 970-470-55-10** The rates for annual assessments are determined prior to issuance of the debt and are limited to a maximum annual tax rate based on anticipated debt service requirements. The rate levied is dependent on the land use category of each parcel of property in the district. Developed property is taxed at the maximum rate, unless a lesser amount is needed to meet current year debt service and maintenance obligations. If the amount levied for developed property is not sufficient, undeveloped property is subject to tax up to the maximum rate. If the maximum rate applied to both developed and undeveloped property is insufficient, additional taxes may be assessed only if approved by eligible voters.
- 970-470-55-11** Because the assessment on each individual property owner is dependent on the rate of development and, therefore, is not fixed or determinable, an obligation is not required to be recognized. However, if the entity must satisfy any shortfall in annual debt service requirements, recognition of an obligation must be evaluated pursuant to Subtopic [450-20](#).

· · > Case D: Tax Increment Financing Entity; No Entity Obligation Recognized

- 970-470-55-12** A tax increment financing entity is formed to issue bonds. On completion of construction of the infrastructure assets, title to such assets (including any land upon which the infrastructure is constructed) passes from the tax increment financing entity to the municipality. The entity does not guarantee the tax increment financing entity debt.
- 970-470-55-13** The debt service requirements of the tax increment financing entity will be met by normal property tax assessments. The increased value of the developed property is expected to generate sufficient taxes to meet the debt service and other obligations. If such assessments are not sufficient, the municipality must satisfy the shortfall.

970-470-55-14 The assessment on each individual property is not determinable because it is based on the current tax rate and the assessed value of the property. Accordingly, the entity is not required to recognize an obligation. The assessments will be treated as property taxes. If, however, the entity had guaranteed the tax increment financing entity debt or must satisfy any shortfall in annual debt service requirements, the recognition of an obligation would be evaluated pursuant to Subtopic [450-20](#).

970 Real Estate—General

605 Revenue Recognition

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Assumption	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Blind Pool or Partially Blind Pool Partnerships	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Flip Transactions	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
General Partnership	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Investor Notes	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Limited Partnership	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Ownership Interests	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Partnership Notes	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Project Costs	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

Syndication Activities	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Syndication Fees	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-05-1 through 05-11	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-15-1 through 15-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-25-1 through 25-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-30-1 through 30-12	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-35-1 through 35-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
970-605-55-1 through 55-20	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-605-05-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

Real Estate Syndication

970-605-05-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-4 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-5 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-6 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-7 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-05-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-05-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-05-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

Real Estate Project Costs

970-605-05-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

i General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are [financial instruments](#). For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic [825](#). See Section [825-10-15](#) for guidance on the scope of the Financial Instruments Topic.

General

970-605-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

Real Estate Syndication

970-605-15-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-15-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-15-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-15-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

970-605-15-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

Real Estate Project Costs

970-605-15-7 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

20 Glossary

- General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

- Editor's Note:** All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

- General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic [825-10](#). Those Subsections (see paragraph [825-10-05-5](#)) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section [825-10-15](#) for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

Real Estate Project Costs

970-605-25-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-25-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-25-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-25-4 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

Real Estate Syndication

970-605-25-5 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-25-6 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-25-7 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

Real Estate Syndication

970-605-30-1 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-30-2 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970-605-30-3 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

- 970-605-30-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-8** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-9** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-10** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-11** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-30-12** Paragraph superseded by Accounting Standards Update No. 2014-09.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

Real Estate Syndication

- 970-605-35-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-3** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-35-8** Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Real Estate Syndication

- 970-605-55-1** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-2** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-3** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-4** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-5** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-6** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-7** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-8** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-9** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-10** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-11** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-12** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-13** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-14** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-15** Paragraph superseded by Accounting Standards Update No. 2014-09.
- 970-605-55-16** Paragraph superseded by Accounting Standards Update No. 2014-09.

- 970-605-55-17 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 970-605-55-18 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 970-605-55-19 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)
- 970-605-55-20 [Paragraph superseded by Accounting Standards Update No. 2014-09.](#)

970 Real Estate—General

720 Other Expenses

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-720-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	970-720-05-3	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-720-05-1 The content in this Subtopic is contained in the Real Estate Project Costs Subsections.

Real Estate Project Costs

970-720-05-2 The Real Estate Project Costs Subsections of this Subtopic provide guidance on the capitalization and expensing of real estate [project costs](#).

970-720-05-3 See the [Real Estate Project Costs Subsection](#) of Section 970-340-25 for guidance on the accounting for internal costs relating to real estate property acquisitions.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-720-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

Real Estate Project Costs

> Overall Guidance

970-720-15-2 The Real Estate [Project Costs](#) Subsections follow the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see the [Real Estate Project Costs Subsection](#) of Section 970-10-15.

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Project Costs

Costs clearly associated with the acquisition, development, and construction of a real estate project.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

Real Estate Project Costs

> Preacquisition Costs

970-720-25-1 Internal costs of preacquisition activities incurred in connection with the acquisition of a property that will be classified as operating at the date of acquisition shall be expensed as incurred.

970-720-25-2 A property would be considered operating if, at the date of acquisition, major construction activity (as distinguished from activities such as routine maintenance and cleanup) is substantially completed on the property and either of the following conditions exists:

- a. It is held available for occupancy upon completion of tenant improvements by the acquirer.
- b. It is already income-producing.

> Indirect Costs

970-720-25-3 Indirect costs that do not clearly relate to projects under development or construction, including general and administrative expenses, shall be charged to expense as incurred.

970 Real Estate—General

810 Consolidation

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

970-810-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Ordinary Course of Business	Added	Accounting Standards Update No. 2015-02	02/18/2015
	970-810-25-2	Amended	Accounting Standards Update No. 2015-02	02/18/2015
	970-810-25-3	Amended	Accounting Standards Update No. 2015-02	02/18/2015

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

970-810-05-1 This Subtopic provides guidance on consolidation matters incremental to the real estate industry.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

970-810-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

General Partnership

An association in which each partner has unlimited liability.

Limited Partnership

An association in which one or more general partners have unlimited liability and one or more partners have limited liability. A limited partnership is usually managed by the general partner or partners, subject to limitations, if any, imposed by the partnership agreement.

Ordinary Course of Business

Decisions about matters of a type consistent with those normally expected to be addressed in directing and carrying out current business activities, regardless of whether the events or transactions that would necessitate such decisions are expected to occur in the near term. However, it must be at least reasonably possible that those events or transactions that would necessitate such decisions will occur. The ordinary course of business does not include self-dealing transactions.

Undivided Interest

An ownership arrangement in which two or more parties jointly own property, and title is held individually to the extent of each party's interest.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> General Partnerships

970-810-25-1 A [general partnership](#) that is controlled, directly or indirectly, by an investor is, in substance, a subsidiary of the investor. Paragraph [810-10-15-8](#) states that the usual condition for a controlling financial interest is ownership of a majority voting interest, and, therefore, as a general rule ownership by one entity, directly or indirectly, of over 50 percent of the outstanding voting shares of another entity is a condition pointing toward consolidation. However, if partnership voting interests are not clearly indicated, a condition that would usually indicate control is ownership of a majority (over 50 percent) of the financial interests in profits or losses (see paragraphs [970-323-35-16 through 35-17](#)). Paragraph [810-10-15-8](#) states that the power to control may also exist with a lesser percentage of ownership, for example, by contract, lease, agreement with other stockholders, or by court decree. The power to control may also exist with a lesser percentage of ownership by agreement with other partners.

970-810-25-2 On the other hand, the majority interest holder may not control the entity if one or more of the other partners have substantive participating rights that permit those other partners to effectively participate in certain significant financial and operating decisions that are made in the [ordinary course of business](#). The determination of whether the rights of the other partners are substantive participating rights shall be evaluated in accordance with the guidance for substantive participating rights in paragraphs [810-10-25-2 through 25-14](#). If the other partners have substantive participating rights, the presumption of control by the majority interest holder is overcome. A controlling investor shall account for its investment under the principles of accounting applicable to investments in subsidiaries. Accordingly, interentity profits and losses on assets remaining within the group shall be eliminated. A noncontrolling investor in a general partnership shall account for its investment by the equity method and should be guided by the provisions of Topic [323](#).

> Limited Partnerships

970-810-25-3 If a [limited partnership](#) does not meet the conditions in paragraph [810-10-15-14](#) and, therefore, is not a variable interest entity, limited partners shall evaluate whether they have a controlling financial

interest according to paragraph [810-10-15-8A](#). The guidance in Subtopic [810-10](#) on consolidation shall be used to determine whether any limited partners control the limited partnership:

- a. If no single partner controls the limited partnership, the general and limited partners shall apply the equity method of accounting to their interests, except for instances when a limited partner's interest is so minor that the limited partner may have virtually no influence over partnership operations and financial policies (see paragraph [323-30-S99-1](#)).
- b. [Subparagraph superseded by Accounting Standards Update No. 2015-02](#).
- c. If a single limited partner controls the limited partnership, that limited partner shall consolidate the limited partnership and apply the principles of accounting applicable for investments in subsidiaries in Topic [810](#).

45 Other Presentation Matters

i General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Undivided Interests

- 970-810-45-1** An investment in real property may be presented by recording the undivided interest in the assets, liabilities, revenue, and expenses of the venture if all of the following conditions are met:
- a. The real property is owned by [undivided interests](#).
 - b. The approval of two or more of the owners is not required for decisions regarding the financing, development, sale, or operations of real estate owned.
 - c. Each investor is entitled to only its pro rata share of income.
 - d. Each investor is responsible to pay only its pro rata share of expenses.
 - e. Each investor is severally liable only for indebtedness it incurs in connection with its interest in the property.

970 Real Estate—General

835 Interest

05 Overview and Background

- i General Note:** The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 970-835-05-1** This Subtopic provides guidance concerning the recognition of interest income on investor loans or advances to real estate ventures.
- 970-835-05-2** See also Subtopic [835-20](#).

15 Scope and Scope Exceptions

- i General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

- 970-835-15-1** This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section [970-10-15](#).

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to

carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Income from Loans or Advances to a Venture

- 970-835-35-1** An investor-lender that does not capitalize interest on its own real estate construction and development projects (see Subtopic [835-20](#)) shall account for interest on loans and advances that are not in substance capital contributions in accordance with the following recommendations:
- a. All interest income on the investor's loans or advances to the venture shall be deferred if either of the following conditions is present:
 1. Collectibility of the principal or interest is in doubt. This condition may exist if adequate collateral and other terms normally required by an independent lender are not present.
 2. There is a reasonable expectation that the other investors will not bear their shares of losses, resulting in uncertainty as to the lender's share of the venture's related interest expense.
 - b. If neither of the conditions in (a) is present and either the venture has recorded interest as an expense or the venture has capitalized the interest but in order to conform to the investor's accounting policies, the investor has recorded its equity in the income or loss of the venture as if the venture had charged the interest to expense, the entire interest income accrued on loans or advances to a venture shall be recorded as earned.
 - c. If the conditions in (a) or (b) are not present, a portion of interest income from loans and advances to a venture shall be deferred based on the investor's percentage interest in the profits and losses of the venture. However, an evaluation similar to that discussed in paragraphs [970-323-35-8 through 35-10](#) for recording the investor's share of losses should be made to avoid recording as interest income amounts that may ultimately be borne as losses by the investor making the loan.
- See paragraph [970-323-35-22](#) regarding situations where certain amounts of interest are accounted for as distributions rather than as interest income.